China-Southern Africa Critical Minerals

Southern Africa, China

SIGNAL Southern African governments are escalating demands that Chinese firms process critical minerals domestically rather than exporting raw ore.

FRACTURE China's integrated mining-to-refining supply chain gives it a structural advantage that host nations cannot quickly replicate, but rising resource nationalism and Western competition are eroding the favorable terms Beijing has enjoyed.

Chinese firms will accept host-nation processing demands and build domestic beneficiation plants across Southern Africa over the next 12 months, deepening technological lock-in rather than losing control of critical mineral supply chains.

70%

PROBABILITY

Target: June 2027

Confidence: Medium

ANALYSIS

POLITICAL

Southern African governments are becoming more assertive in demanding that Chinese infrastructure investments deliver tangible local benefits beyond basic extraction. Zimbabwe's raw lithium export ban (2024) and subsequent demand for domestic beneficiation plants is the clearest example — the government explicitly told Chinese firms to "process our lithium into battery-grade material here" and "smelt our platinum on Zimbabwean soil." This resource nationalism is spreading: Zambia has signaled similar intentions, and Angola is leveraging the Lobito Corridor to extract better terms from all foreign mining partners, including China. However, African governments remain pragmatic — they need Chinese capital and infrastructure too much to force a full reckoning. The likely outcome is a negotiated shift where Chinese firms accept higher processing costs in-country in exchange for continued long-term mining access and infrastructure financing. The political risk for China is not expropriation but gradual erosion of favorable terms.

ECONOMIC

China's economic leverage in Southern Africa remains formidable. Bilateral trade exceeded $300 billion in 2025. Chinese banks are the largest creditors to several Southern African nations, and Chinese firms control 78 commercial ports across 32 African countries. The

Lobito Corridor, TAZARA railway, and Dar es Salaam port infrastructure give China control over the logistics arteries through which critical minerals flow. However, the economics are shifting: host nations are capturing more value locally (Zimbabwe's $1bn in Chinese processing plant investments is a direct result of export bans), and competition from Western firms — backed by US/EU critical minerals initiatives — is increasing. China's cost of doing business in the region is rising, but its integrated supply chain (mining → processing → refining → battery manufacturing) gives it a structural advantage that competitors cannot quickly replicate.

MILITARY

While the military dimension is less prominent than economic or political factors, China's growing infrastructure footprint in Southern Africa has strategic military implications. The Lobito Corridor and associated port infrastructure could theoretically serve dual-use purposes. More significantly, China's dominance of cobalt, rare earths, and lithium supply chains gives it leverage over Western defense supply chains — these minerals are essential for advanced weapons systems, radar, and military communications. The US recognition of this vulnerability (evidenced by the Greenland rare earth deal and PGII infrastructure investments) suggests that the military-strategic dimension of China's Southern African mineral plays will become more explicitly contested over the coming year.

TECHNOLOGICAL

China's technological edge in Southern African mining is twofold: extraction/refining technology and the downstream manufacturing that uses the extracted minerals. Chinese firms control the processing know-how for cobalt refining (China refines ~70% of the world's cobalt, most of it from DRC-origin material) and are rapidly building lithium processing capacity in Zimbabwe. The beneficiation shift demanded by host nations actually plays into China's hands technologically — by building processing plants locally, Chinese firms extend their technological lock-in deeper into the supply chain. However, Western nations are investing in alternative processing capacity (e.g., US investments in Australian and Canadian critical mineral processing), which could erode China's dominance over time. The key uncertainty is whether African nations can develop independent processing capabilities or will remain dependent on Chinese technology even for domestic beneficiation.

WATCH INDICATORS

- Zimbabwe/Zambia/Angola policy changes on mineral export restrictions or processing mandates
- Chinese firm announcements of new processing plant construction in Southern Africa
- US/EU critical minerals partnership agreements with Southern African nations
- Lobito Corridor throughput volume and infrastructure investment announcements
- DRC regulatory changes affecting Chinese mining concessions

- Western tech firm announcements of alternative supply chain investments

PROBABILITY TRIGGERS

THING	DIRECTION
Chinese firm announces major new in-country processing facility in Zimbabwe/Zambia/DRC	Up
Host nation expropriates or forces renegotiation of a Chinese mining concession	Down
Western firm announces large-scale processing investment in Southern Africa	Down
China finishes construction of a lithium/cobalt processing plant in Southern Africa	Up
African Union adopts continent-wide beneficiation mandate with enforcement teeth	Down
Chinese tech lock-in deepens as local plants use proprietary Chinese processing technology	Up

KEY SOURCES

1. Chatham House: UK Critical Mineral Links with China
2. Crown/za: Lobito Corridor Logistics Impact
3. Business Insider Africa: Zimbabwe Lithium Beneficiation
4. Herald Online Zimbabwe: Mines Secretary Demands Domestic Processing
5. SCMP: Lobito Corridor and Transcontinental Links
6. Discovery Alert: China vs West Critical Minerals Race
7. Lowy Institute: China's Evolving Africa Influence
8. Uchumi360: Tanzania Rare Earth Discovery
9. LinkedIn/Mining Zimbabwe: Huayou Cobalt in Zimbabwe
10. MarketScreener: Chinese Lithium Miners $1bn Processing Investment

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Sources: Based on open-source reporting available as of 2026-06-03

Methodology: Probability reflects IScann Group's analytic judgment, not a statistical model, unless otherwise stated.

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